



# COLLEGE OF HEALTH SCIENCES

## Department of Public Health

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**Project title: Management school of thought**

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**Submitted to: Mrs. Berhan**  
**Submission date: August 08, 2025G.C.**

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# Acknowledgment

This paper is the result of a collaborative effort by all eleven members of our group, each contributing equally and significantly to its success. We would not have achieved this accomplishment without the support, commitment, and dedication of every member of our team. We would like to express our gratitude to our instructor, Mrs. Berhan, for her invaluable assistance and expertise, which helped us achieve our objectives throughout the preparation of this assignment. Finally, we would like to extend our appreciation to each member of the group for finalizing this paper with care and dedication.

# Introduction

Various schools of thought offer insights and guidance regarding the principles and practices of successful management. These ideas guide how managers plan, lead and control resources for the effective realization of objectives. In this paper, we explore the modern school of thought in management. Our focus will be on the contingency and quality schools of thought, which emerged during the 1960s and 1970s.

Contingency leadership is about possessing the knowledge, skills, and abilities to respond effectively to changing situations. contingency theory Acknowledges that leadership is not universal; different environments require different styles. It helps organizations place leaders in roles that suit their natural style. It was mainly contributed by Fred E. Fiedler in 1960s after especially the inconvenience managers faced from other school of thoughts being unreal and impractical. This approach is flexible and has a good decision making and problem-solving approach with positive outcomes.

The quality school of management, initially designed by Walter A. Shewhart as a statistical analysis and quality control tool, is a comprehensive concept for leading and operating an organization. It aims at continually improving performance by focusing on customers while addressing the needs of all stakeholders. This school of thought apply two popular approaches: Kaizen, which focuses on continuous improvement, and reengineering, which emphasizes radical transformation.

In summary, these two modern schools of thought have been applied in the real world, leading to a more flexible approach to effective decision-making and enhanced productivity.

# 1. Contingency school of management thought

## 1.1 Definition

A contingency is an event that may occur but is not likely or intended. It is a possibility that is dependent on chance or uncertainty and may result in significant or irreparable outcomes. Contingency leadership is about possessing the knowledge, skills, and abilities to respond effectively to changing situations. Analyzing and responding to the contingencies that influence leader effectiveness provides the ability to succeed in an ever-changing health care environment.

Health care leadership involves stepping up during times of uncertainty and moving forward to minimize potential threats while exploiting opportunities. This often requires leaders to balance the interests of the organization with the needs and motivations of employees. These theories include, but are not limited to Fiedler's Contingency Model, the Path-Goal Theory, and the Situational Leadership Theory.

## 1.2 Contingency School of Thought in Management Approaches

### 1.2.1 Fiedler's Contingency Theory

Fiedler and his associates proposed that leadership effectiveness depends on a match between a leader's style and the favorableness of the situation. Leaders are either:

- ✓ **Task-oriented:** Active, directive, and structured
- ✓ **Relationship-oriented:** Supportive and cooperative

Situational Variables:

- ✓ **Leader-Member Relations:** Trust and respect between the leader and team
- ✓ **Task Structure:** Clarity of task procedures and goals
- ✓ **Position Power:** Authority the leader holds to influence outcomes
- ❖ Fiedler believed it is more effective to **change the situation** to suit the leader's style rather than try to change the leader.

Least Preferred Coworker (LPC) Scale: leaders rate the coworker they least enjoyed working with.

- ✓ **High LPC:** Relationship-oriented
- ✓ **Low LPC:** Task-oriented

Application Example:

In high-stress, low-control situations (poor relations, unstructured tasks, weak authority), **task-oriented** leadership is most effective. In moderately favorable situations, **relationship-oriented** leadership is preferable.

#### 1.2.1.1 Cognitive Resource Theory:

Later, Fiedler developed this theory with Garcia:

- ✓ **Intelligence helps in low-stress** but **hinders under high stress**
- ✓ **Experience helps in high-stress** but can reduce performance under low stress
- ❖ Leaders under stress rely more on experience than analysis, and the best results come when their experience is relevant.

Practical Illustration:

Fiedler suggests imagining an airline captain during landing. It would be inappropriate for the captain to consult the crew about how to land the plane - a directive style is essential in such high-stakes, structured situations.

### 1.2.2 House's Path-Goal Leadership Theory

Developed by House (1971) and based on expectancy theory, this model emphasizes how leaders influence followers' motivation, satisfaction, and performance by clarifying the path to goals.

Four Components:

1. **Leadership Behaviors**
2. **Environmental Contingency Factors**
3. **Subordinate Contingency Factors**
4. **Outcomes**

1. Leadership Behaviors:

**Directive:** Provides clear expectations and guidance

**Supportive:** Shows concern for well-being

**Participative:** Involves subordinates in decisions

**Achievement-Oriented:** Sets challenging goals and encourages excellence

### Case Study: The New Chief Safety and Compliance Officer Position

Ben Altrod, CEO of a 300-bed community hospital, was called into an urgent meeting with Director of Nursing, Paul Muir. Paul reported a critical error: a patient died shortly after receiving the wrong blood type during a transfusion. Though causality wasn't certain due to the patient's complex diagnoses, the situation demanded immediate attention.

This event followed a recent incident where a surgical clamp had been left in a patient, prompting prior pledges for procedural reform.

Ben's Actions:

- Instructed Paul to notify the Medical Error Oversight Board
- Chose to meet personally with the patient's family
- Decided to create a new **Chief Safety and Compliance Officer** position

Job Description Highlights:

- Develop compliance policies and training
- Monitor safety standards
- Require 10 years of safety/compliance experience (7 in healthcare)

Analysis Question: Using **Fiedler's Contingency Theory**:

What leadership style should Ben seek?

Could he alter the situational factors (relations, task structure, power)?

### 1.2.3 Tannenbaum and Schmidt's Continuum of Leadership Behavior

This model illustrates a range of leadership styles from autocratic (boss-centered) to democratic (subordinate-centered).

Continuum Stages: Manager makes decision and announces it

Manager "sells" the decision

Manager presents ideas and invites questions

Manager presents tentative decision subject to change

Manager defines limits; group makes decision

**Key Insight:** No single style is best—effective leadership depends on task complexity, follower readiness, and environment.

## 1.2.4 Hersey and Blanchard's Situational Leadership Model

Leadership style must adapt based on a follower's maturity (competence + motivation).

Four Styles:

**Telling:** Low maturity (high task, low relationship)

**Selling:** Moderate maturity (high task, high relationship)

**Participating:** High maturity (low task, high relationship)

**Delegating:** Very high maturity (low task, low relationship)

**Criticism:** While somewhat simplified, the model remains highly practical.

## 1.2.5 Leader-Member Exchange (LMX) Theory

LMX focuses on the quality of the relationship between leader and follower.

Phases:

**Role-Taking:** Leader evaluates new member

**Role-Making:** Member becomes part of in-group or out-group

**Routinization:** Relationships stabilize

Impact: **In-group:** More support, trust, development

**Out-group:** Less opportunity, limited involvement

Ethical Concern: Risk of favoritism toward similar personalities.

## 1.3 Key Features

### ➤ Leadership Styles Are Fixed:

Leaders are classified as either task-oriented (focused on structure, control, and goal achievement) or relation-oriented (focused on trust, collaboration, and employee satisfaction).

Style is determined by the Least Preferred Coworker (LPC) Scale, where leaders rate their least preferred coworker.

### ➤ Situational Variables:

Effectiveness depends on three factors:

1. Leader-Member Relations: Trust and respect between leader and subordinates (good or poor).
2. Task Structure: Clarity and rigidity of tasks (high or low structure).
3. Position Power: Leader's formal authority (strong or weak).

### ➤ Matching Style to Situation:

Task-oriented leaders perform best in very favorable (high control) or very unfavorable (low control) situations.

Relation-oriented leaders excel in moderately favorable situations.

➤ **No "One Best Way" to Lead:**

Leadership success depends on aligning style with situational demands.

## 1.3 Advantages

- *Practical Application:*

Helps organizations place leaders in roles that suit their natural style.

Useful in healthcare, military, and structured industries where situational control vary.

- *Empirical Support and Predictive Utility*

The approach is strongly research-backed particularly Fiedler's contingency model and Hersey Blanchard's situational leadership and enables prediction of which leadership styles work best under certain conditions. Fiedler's research (1965–1976) provided evidence that leadership effectiveness is situational.

- *Flexibility in Analysis:*

Encourages leaders to assess situational variables (relations, task clarity, power) before deciding on an approach.

- *Situational Flexibility & Adaptability*

Emphasizing that "there's no one best way to manage," contingency theory allows managers to tailor their leadership style and decisions to specific internal and external circumstances. This flexibility enhances effectiveness across varied contexts.

- *Enhanced Managerial Responsiveness*

Leaders adjust approaches based on follower maturity or task complexity, facilitating better motivation and performance across team members (e.g., selling, delegating, participating styles).

- *Better Communication & Individual Fit*

By diagnosing follower readiness and matching leadership behaviors, managers foster stronger relationships, clearer expectations, and improved team morale—especially highlighted in Hersey & Blanchard's model

- *Realistic and Contextually Responsive*

Acknowledges that leadership is not universal; different environments require different styles.

Unlike classical or universalist schools of management, this theory acknowledges organizational and environmental variation, making it realistic and broadly applicable—from health organizations to project management settings.

## 1.4 Disadvantages

- *Leadership Style Is Inflexible:*

Assumes leaders cannot adapt their style (task vs. relation-oriented), which contradicts modern adaptive leadership theories.

- *Overemphasis on Situational Control and Limited Predictive Power:*

Ignores leader adaptability, follower development, and transformational aspects. Some critics argue that the model oversimplifies situational variables and does not account for dynamic changes.



- *Not Universally Applicable:*

More suited to structured environments (e.g., manufacturing, healthcare) than creative or rapidly changing fields.

- *High Subjectivity & Managerial Burden*

It places heavy reliance on a manager's ability to accurately assess people and situations. Misjudgments can undermine effectiveness, and inexperienced leaders may find it overwhelming.

- *Complexity & Time Requirements*

The LPC scale is subjective and may not reliably predict leadership behavior. Continuous assessment of situations (people, tasks, environment) consumes time and may slow decision-making - making it less viable in fast-paced or standardized settings.

- *Inconsistency & Confusion Risk*

Frequent shifts in management or leadership styles can confuse teams, reduce predictability, and undermine trust if not communicated well.

- *Limited Scalability & Training Challenges*

Because the approach involves nuanced judgment across contexts, it can be hard to standardize in training programs or replicate uniformly across organizations.

- *Constraints in Certain Models (Fiedler's Model)*

Fiedler's model assumes leadership style is fixed; if a mismatch occurs, change must come from task or context rather than personal adaptation. Critics question the LPC measurement method and its situational rigidity.

## 2. Quality school of management thought

### 2.1 Definition

The quality school of management is a comprehensive concept for leading and operating an organization, aimed at continually improving performance by focusing on customers while addressing the needs of all stakeholders. In other words, this concept focuses on managing the total organization to deliver high quality to customers.

The quality school of management considers the following in its theory:

- ✓ Organization makeup.
- ✓ Quality of goods and services.
- ✓ Continuous improvement in goods and services
- ✓ Employees working in teams

### 2.2 History of quality school of management thought

The origins of quality management can be traced back to medieval European guilds, where craftsmen followed strict rules to ensure product excellence. Inspection marks and individual signatures established trust and reputation. This craftsmanship model persisted into the early Industrial Revolution, when factories began dividing labor into specialized tasks, often reducing workers' sense of control. Frederick Taylor later introduced scientific management, which boosted productivity but diminished quality, prompting the creation of inspection departments to catch defects.

During World War II, product safety became paramount, and the U.S. military adopted statistical sampling methods to ensure equipment reliability while managing inspection staffing shortages. This led to the rise of statistical quality control (SQC), pioneered by Walter Shewhart. His process-driven approach, emphasizing data analysis and control charts, laid the foundation for modern quality tools. W. Edwards Deming further advanced these ideas, becoming influential in both American and Japanese manufacturing.

Post-WWII, Japan embraced total quality principles, transforming its global reputation with help from Deming and Joseph Juran. Inspired by Japan's success, the U.S. adopted Total Quality Management (TQM), integrating quality improvement across entire organizations. In later years, quality evolved through initiatives like Six Sigma, ISO standards, and sector-specific programs. Today, quality management spans industries beyond manufacturing - including healthcare, education, and government - guided by continuous improvement and customer focus.

### 2.3 Quality School of Thought in Management Approaches

#### ***Kaizen and Re-Engineering Approaches***

##### **Introduction**

Focuses on continuous improvement and radical transformation

Two main approaches:

- Kaizen (continuous, incremental improvement)
- Re-Engineering (radical redesign and transformation)

In this section, we will explore definitions, benefits, and challenges

### 2.3.1 Kaizen Approach

'Kaizen' is a Japanese term meaning 'continuous improvement'

Long-term strategy focusing on small, incremental changes. It Involves all employees in the organization and aims to:

- ✓ Eliminate waste
- ✓ Improve efficiency
- ✓ Enhance customer satisfaction

#### Benefits of Kaizen Approach

- ✓ Increased productivity and efficiency
- ✓ Improved quality of products or services
- ✓ Enhanced employee engagement and satisfaction
- ✓ Cost reduction
- ✓ Better customer satisfaction and loyalty

#### Challenges of Kaizen Approach

- Requires time and resources for implementation
- Resistance to change from some employees
- Difficulties in measuring the impact of small changes

### 2.3.2 Re-Engineering approach

Re-engineering also known as Business Process Re-engineering (BPR) involves re-designing and dramatic improvements in quality, cost, speed and service. It involves re-thinking processes unconstrained by existing workflows or assumptions. Unlike traditional approaches which involve incremental improvements over time re-engineering seeks radical improvements not possible with small changes.

The advantage of this approach include: dramatic quality gains and efficiency, customer aligned process design and competitive differentiation. The risks associated with it include: disruption of pre-existing culture, resistance to change from some employees and requirement of significant investment of resources.

## 2.4 Advantages of quality school of thought

- Superior customer satisfaction
- By prioritizing the voice of the customer and delivering products and services that align or exceed expectations leads to greater customer satisfaction.
- Improved efficiency and cost reduction TQM helps identify and eliminate non-value adding activities and result in lower costs and high efficiency.
- Enhance employee engagement
- Continuous improvement
- Better decision making
- Reduced defect rate and enhance safety
- Sustained competitiveness

## 2.5 Disadvantages of Quality School of Thought

- *Demand a change in organization culture*

Regarding attitude and reordering daily activities, sustained employee involvement and long-term managerial commitment

- *Workers may be resistant to change*

Some employees may resist changes to established processes, making it difficult to implement new quality control measures.

- *Discourages Creativity*

It focuses on task standardization to ensure consistency, which discourages creativity and innovation

- *Quality is expensive*

Training expenses, team building, infrastructure improvement, consultant fees, ongoing investment, machine inspection, quality assessment, and refresher training

- *Demands timing, planning and resources*

It takes years to implement a good total quality management system. Significant investment and unwavering management are required.

- *Takes several years for its beneficial effect to show*

Perseverance, patience, dedication and motivation

- *Excessive focus on quality can lead to significant financial setbacks*

## 2.6 Example of TQM

**Total Quality Management** is the term used to describe the system that Japan implemented to reestablish its economy following World War II. This system is heavily reliant on quality control and statistical measurements to guarantee the production of high-quality products. It is frequently linked to the Japanese "Quality Revolution," which had a substantial impact on the country's manufacturing sector and resulted in Japan becoming a global leader in the production of sophisticated electronics and automobiles.

It is that a company may achieve long-term success if all of its members, from low level employees to top executives, concentrate on enhancing quality and hence achieving customer satisfaction.

- In the 1980s, Indian steel producer Tata Steel adopted Total Quality Management (TQM), which had a big effect on how it operated. In 2008, the business received the Deming Application Prize in recognition of its superior TQM practices.
- Understanding customer needs, guaranteeing value creation throughout the supply chain and forming a Performance Improvement Committee in 2008 with specialized groups for different production processes were all part of Tata Steel's TQM initiatives. According to their 2008-2009 annual report, this improved the company's bottom line by \$150 million.

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